

Contestant Number: _____

Time: _____

Rank: _____



COLLEGE ACCOUNTING (105)

STATE – 2020

Multiple Choice & Short Answer Section:

Multiple Choice (13 @ 2 points each) _____ (26 points)

Short Answer _____ (52 points)

Production Portion:

Problem 1: Inventory _____ (88 points)

Problem 2: Financial Statement _____ (50 points)

Problem 3: Closing Entries _____ (48 points)

TOTAL POINTS _____ ***(264 points)***

Failure to adhere to any of the following rules will result in disqualification:

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than ten (10) minutes orientation

No more than 90 minutes testing time

No more than ten (10) minutes wrap-up

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Workplace Skills Assessment Program competition.

General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts. The multiple choice and short answer questions should be completed first, and then the accounting problems may be completed in any order.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Unless otherwise instructed, round all answers to 2 decimal places.

Multiple Choice

Identify the letter of the choice that best completes the statement or answers the question.

- 1) The term "inventory" refers to _____.
 - a) supplies used in the business
 - b) goods available for sale to customers
 - c) the cost of goods sold
 - d) equipment that are used in production process
- 2) Which of the following states that the business should use the same accounting methods from period to period?
 - a) conservatism
 - b) materiality concept
 - c) consistency principle
 - d) disclosure principle
- 3) If prices are rising over time, which inventory method will present the most favorable balance sheet?
 - a) first-in, first-out
 - b) weighted-average
 - c) last-in, first-out
 - d) specific identification
- 4) Lower-of-cost-or-market is an application of which accounting principle?
 - a) Disclosure
 - b) Consistency
 - c) Conservatism
 - d) Materiality
- 5) Which of the following is NOT a requirement of the Sarbanes-Oxley Act?
 - a) The Public Company Accounting Oversight Board must conduct audits of public companies.
 - b) The accounting firm that audits a public client may not also provide consulting services for the same client.
 - c) An outside auditor must evaluate the client's internal controls and report on the internal controls as part of the audit report.
 - d) Executives convicted of securities fraud or making false statements may face 20 to 25 years in prison.

- 6) What type of account is Allowance for Bad Debts?
- Current liability
 - Contra asset
 - Contra liability
 - Expense
- 7) Days' sales in receivables measures _____
- how many days it takes to collect the average level of accounts receivable
 - how many days it takes to sell inventory
 - how many days it takes to order and receive inventory
 - the number of times a company collects the average accounts receivable balance in one year
- 8) Diggory, Inc. owns a delivery truck. Which of the following costs, associated with the truck, will be treated as a revenue expenditure?
- addition to storage capacity
 - oil change and lubrication
 - modification for new use
 - major engine overhaul
- 9) Businesses record goodwill _____.
- if their market value has increased significantly in the recent years
 - if they acquire another company at an amount higher than the market value of its net assets
 - when they enjoy an outstanding reputation and loyalty with customers
 - when they continue the business of an acquired corporation
- 10) Dean Thomas Real Estate Developer plans to develop a shopping center. In the first quarter, the following amounts were spent:

Acquisition of land	\$17,000
Surveys and legal fees	600
Land clearing	800
Fencing	5,000
Install lighting and signage	1,560

What amount should be recorded as the cost of the land in the corporation's books?

- \$22,800
- \$23,400
- \$18,400
- \$19,960

- 11) On October 1, 2019, Flortescue's Ice Cream Parlor purchased a new oven for \$41,000. Flortescue's management expects to use the oven for 33,000 hours over the next five years. The estimated residual value of the oven at the end of the fifth year is \$4,700. What is the depreciation expense for 2019 if the corporation uses the straight-line method of depreciation? (Round any intermediate calculations to two decimal places, and your final answer to the nearest dollar.)
- a) \$7,260
 - b) \$2,396
 - c) \$4,700
 - d) \$1,815
- 12) After adjusting entries have been posted, the balance in Accounts Receivable is \$484,000, and the balance in Allowance for Bad Debt is \$17,000. What is the Net Realizable Value?
- a) \$484,000
 - b) \$501,000
 - c) \$467,000
 - d) \$284,706
- 13) Which of the following liabilities is created when a company receives cash for services to be provided in the future?
- a) Unearned Revenue
 - b) Accounts Payable
 - c) Estimated Warranty Payable
 - d) Accrued Liability

Short Answer (52 Points)

Crookshanks purchased equipment on January 2, 2019 for \$36,000. The equipment is expected to remain in service for four years. At the end of the equipment's useful life, Crookshanks estimates that its residual value will be \$4,000.

Prepare a schedule of depreciation for each year using the double-declining balance method. Complete all shaded areas of the table below. Round to the nearest whole number.

Year	Depreciation Expense	Accumulated Depreciation	Net Book Value
2019			
2020			
2021			
2022			

- 1) If the equipment is sold on July 1, 2022 for \$4,000, Crookshanks will record a

_____ of \$ _____
Gain/Loss

- 2) Hermoine Corp signs a 120-day, \$20,000, 4.5% note on November 10, 2019.

- What is the interest expense for 2019? _____
- What is the interest expense for 2020? _____
- What is the maturity value? _____
- What is the maturity date? _____

- 3) Hagrid Company pays \$180,000 for a group purchase of land, building, and equipment. At the time of the acquisition, the land has a market value of \$95,000; the building \$57,000; and the equipment \$38,000.

Journalize the lump-sum purchase of the assets for a total cost of \$180,000. Hagrid Co. signs a note payable for this amount.

Date	Account	Debit	Credit

Problem 1 (88 Points)

During the month of June, Weasley Bros. purchased and sold merchandise on account as follows:

June 1	Beginning Inventory	25 units @ \$40 each
7	Purchase	20 units @ \$46.75 each
14	Sale	18 units
20	Sale	15 units

Prepare a perpetual inventory record, using the perpetual weighted average inventory costing method, and determine the company's cost of goods sold and ending merchandise inventory.

	Purchases			Cost of Goods Sold			Inventory		
Date	Quant	Unit Cost	Total Cost	Quant	Unit Cost	Total Cost	Quant	Unit Cost	Total Cost
Total									

Prepare the appropriate journal entry for the purchase of inventory on June 7th on account from Seamus Finnegan.

Date	Account	Debit	Credit

Prepare the appropriate journal entry for the sale of inventory on June 14th to Lee Jordan. Assume all units are sold for \$100 and all sales are on account.

Date	Account	Debit	Credit

On June 19th the Weasley Bros. receive payment from Lee Jordan (invoice dated June 14th)

Date	Account	Debit	Credit

Prepare the appropriate journal entry for the sale of inventory on June 20th to Stan Shunpike. Assume all units are sold for \$100 and all sales are on account.

Date	Account	Debit	Credit

The Weasley Bros. pays the invoice due to Seamus Finnegan on June 21st.

Date	Account	Debit	Credit

On July 9th the Weasley Bros. receive payment from Stan Shunpike (invoice dated June 25th)

Date	Account	Debit	Credit

Problem 2 (50 Points)

The following accounts and balances were pulled from the Adjusted Trial Balance of Gryffindor Co. Calculate the following amounts:

Accounts Payable	\$18,300
Accounts Receivable	17,200
Accumulated Depreciation – Equipment	20,000
Bonds Payable	105,000
Cash	8,000
Common Stock	35,000
Cost of Goods Sold	633,300
Delivery Expense	6,200
Depreciation Expense	13,500
Dividends	12,000
Equipment	57,000
Gain on Sale of Equipment	2,000
Goodwill	88,000
Insurance Expense	9,000
Interest Expense	5,000
Inventory	36,200
Land	121,500
Notes Payable (due in 2026)	47,500
Office Supplies	6,000
Premium on Bonds Payable	7,000
Prepaid Insurance	6,000
Rent Expense	29,000
Retained Earnings, January 1	16,200
Salaries Expense	110,000
Sales Revenue	914,000
Unearned Revenue	3,500
Utilities Expense	10,600

Gross Profit		Total Intangible Assets	
Operating Income		Total Current Liabilities	
Net Income		Total Long-term Liabilities	
Total Current Assets		Total Stockholders' Equity	
Total Plant Assets		Retained Earnings Balance, Dec. 31	

Problem 3 (48 Points)

Using the Adjusted Trial Balance for Gryffindor Co., prepare the closing entries on December 31.

[illegible]